

Multiple Choice

1. **Answer:** D

Options: A) Paper producers expect lower paper prices in the months ahead.; B) The price of pencils, a complement to paper, increases.; C) Improvements in the technology used to produce paper.; D) Environmental concerns reduce the yearly amount of timber that can be harvested.

Note: Correct option: D - Environmental concerns reduce the yearly amount of timber that can be harvested.

2. **Answer:** B

Options: A) The velocity of money is equal to real GDP divided by the money supply.; B) Dollars earned today have more purchasing power than dollars earned a year from today.; C) The supply of loanable funds consists of investors.; D) The demand for loanable funds consists of savers.

Note: Correct option: B - Dollars earned today have more purchasing power than dollars earned a year from today.

3. **Answer:** A

Options: A) marginal utility is zero; B) marginal benefit equals marginal cost; C) consumer surplus is zero; D) distributive efficiency is achieved

Note: Correct option: A - marginal utility is zero

4. **Answer:** C

Options: A) The euro and other foreign currencies held by the Federal Reserve; B) Gold bars in secure locations like Fort Knox; C) The promise of the U.S. government to maintain its value; D) The value of the actual paper on which it is printed.

Note: Correct option: C - The promise of the U.S. government to maintain its value

5. **Answer:** A

Options: A) Price equal to marginal cost; B) Relative welfare loss; C) Relatively high price; D) Relatively low quantity

Note: Correct option: A - Price equal to marginal cost

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The government decreases spending with no change in taxes.'

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The volunteer fire department in your community'.

Long Form Response

11. **Answer:** the marginal cost curve intersects the demand curve. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The government increases spending with no change in taxes.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key